

A common minimum programme for the government

ACTION PLAN 2009

PUMP UP THE ECONOMY

Growth is a social, political and economic imperative. India, like China, can weather the meltdown, provided the government enables consumption and investment by cutting cost of credit, spending efficiently and dumping sloth.

TERROR IS NOT A VOTE BANK

With four failing nations in the neighbourhood, securing India must be priority No. 1. Political parties must resolve to decouple counter-terror strategy from electoral politics.

INVEST IN INFRASTRUCTURE

A 21st century economy can neither be held hostage by power outages nor can it travel on 19th century roads. China added 44,000 km of roads and 4,10,000 MW of power between 2002 and 2009.

LEGISLATE LEGISLATION DEADLINE

Governments sit on vital legislation. The UPA regime saw over 40 Bills lapse. Bills must be passed within two sessions of Parliament.

INDIANS NEED AN IDENTITY CARD

Enough of committees, debates and pilot projects. It is imperative to institute a national identity card which can be a multi-use ID proof.

OPEN UP RETAIL AND ALLIED SERVICES

Opening up retail is not about Wal-Mart but delivering income in rural marts and value to consumers. Agri produce worth Rs 60,000 crore is wasted annually for lack of facilities and poor marketing.

BABUS, LEAVE EDUCATION ALONE

India needs new schools, colleges and world-class universities. This will not happen in a licence raj. Opening an institution means getting a dozen clearances and then dealing with the inspector raj.

BET FOREX RESERVES ON INDIA

India must use its forex reserves selectively to fund infrastructure, build oil reserves and create a sovereign fund to bid for distressed assets and to help Indian entities fund acquisitions.

TRANSFER MONEY DIRECTLY TO THE POOR

That ministerial allocation alleviates poverty is a myth. Dismantle the sponsored schemes subsidies structure. Erect a tech-enabled system which will transfer cash directly to the poor.

ABOLISH EXCESS MINISTRIES

Abolish Central ministries whose functions overlap with the state ministries and transfer resources to states. This will save money and deliver efficiency.

Over 300 million Indians live below the poverty line. If they ate twice at a dollar a day, India's GDP would go up by \$110 billion or Rs 5,50,000 crore. Agricultural produce worth over Rs 60,000 crore rots every year because India has failed to set up a supply chain system that can procure, store, process, transport and retail the produce. This requires opening up of the retail sector but politicians have successfully used Wal-Mart to obfuscate the issue. It is tragic that reforms which will deliver higher income to farmers, better prices to consumers and create jobs are being blocked as being anti-people. The multiplier effect of opening up the retail supply chain could add over \$200 billion to the GDP when it gets off the ground.

The political class needs to walk its talk. It is not as if the political class is unaware of the potential benefits but it just hasn't found the commitment to get it done. The world over there is a new growing concern about food security. While India is still debating the merits of importing food, China, Korea, and the UAE are buying or attempting to

buy agricultural land in other countries to meet the food demands of their populations.

Investment in infrastructure is pathetically low. By some stroke of serendipity, India initiated two programmes for road connectivity that delivered growth—one connecting rural roads and the other a nationwide highways project. While the rural roads have managed to evade political interference, of the 32,939 km of highways, barely a third of the target length has been completed. Take power generation. India added 41,110 mw between 2002 and 2007, and plans to add 78,700 mw by 2012. If it does manage to achieve its target, India would have added 1,19,800 mw in 10 years. To get a sense of the underachievement, consider this. Between 2002 and 2007, China added 3,50,000 mw and in 2007 itself, it added 1,00,000 mw. It is not surprising that 62 years after Independence, four of 10 Indian households don't have access to power. The highways story isn't very different. Having added 44,000 km of them since 2001, China now boasts of the second